UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

COMMENTS OF BUCKEYE POWER, INC.

On October 27, 2025, the Federal Energy Regulatory Commission ("FERC" or "Commission") issued a Notice Inviting Comments[1] on the proposed advance notice of proposed rulemaking ("ANOPR")[2] released by the Secretary of Energy addressing interconnection of large loads to the interstate transmission system. Buckeye Power, Inc. ("Buckeye") respectfully files these comments to address limited, but critical, aspects of the ANOPR.[3] Specifically, the Commission must ensure that other wholesale transmission customers are protected against the real risk of massive stranded transmission costs caused by large load interconnections.

I. EXECUTIVE SUMMARY

New large loads—primarily data centers—are causing, and will continue to cause, enormous transmission investments. There is serious concern that these large loads could drive significant transmission investment and *then not show up to pay for it on a sustained basis*. If a large load fails to materialize or consume electricity at the level and

[1] Notice Inviting Comments (Oct. 27, 2025), eLibrary No. 20251027-3056 (the "Notice").

[2] *Ensuring the Timely and Orderly Interconnection of Large Loads*, Proposed Advanced Notice of Proposed Rulemaking (Oct. 27, 2025), eLibrary No. 20251027-4001 ("ANOPR").

[3] While the ANOPR addresses other important issues relating to large load interconnections, in these initial comments Buckeye focuses solely on issues related to transmission cost allocation and responsibility. Buckeye reserves the right to comment on other issues in its reply.

duration expected when these transmission investments were made, other wholesale transmission customers (and, ultimately, their retail customers) may be faced with the massive costs of investments they did not cause. This novel risk of significant stranded transmission investment is a critical issue the Commission must consider in evaluating large load interconnections.

Buckeye supports certain of the Principles laid out in the ANOPR that would ensure that large loads pay for the costs and impact to the grid they cause. Although these large loads may be retail customers, they have significant impacts on Commission-jurisdictional transmission rates and risk significant cost shifts to other wholesale transmission customers. Because the Commission is obligated under the Federal Power Act ("FPA") to ensure that rates under its jurisdiction are just, reasonable, and not unduly discriminatory, the Commission must ensure that large loads are responsible for the cost of transmission facilities built to serve them so other wholesale customers are not left holding the bag. These issues cannot be solved at the retail level alone.

- **ANOPR Principle 8**
    - Buckeye supports holding large loads such as data centers directly responsible for 100% of the network upgrades they are assigned through interconnection studies (which could include crediting, provided that crediting is designed to ensure that wholesale transmission customers are protected). This approach is the clearest way to protect other customers from unjust, unreasonable, and unduly discriminatory transmission rates.
    - To the extent the Commission does not hold these large loads *directly* accountable for the costs they cause, it should nevertheless ensure that other wholesale transmission customers are protected. For example, it should hold the relevant wholesale transmission entity (i.e., the wholesale entity with a direct, retail relationship with the large load for purposes of distribution and transmission) responsible for network upgrades caused by the large load interconnection. This approach would both protect other wholesale transmission customers and allow the relevant wholesale transmission entity to ensure that the large load is responsible for these costs through retail-level mechanisms.

- If the Commission does not adopt one of the two approaches above, it should at minimum ensure that any mechanisms adopted in retail tariffs or agreements for large loads to address potential stranded costs (e.g., minimum payments, minimum terms, exit fees, etc.) be reflected in Commission-jurisdictional rates. Because these large loads affect Commission-jurisdictional transmission rates, doing so is necessary to ensure just, reasonable, and not unduly discriminatory transmission rates for *all* wholesale transmission customers. Absent Commission action, there is no assurance that transmission owners are not merely protecting themselves and their associated retail customers from significant stranded transmission cost risks at the expense of others, and there is no assurance against double recovering (i.e., recovering stranded transmission costs from both their own retail large load customers and other wholesale transmission customers).

- **ANOPR Principle 4**

    - Buckeye supports requirements to deter speculative projects, such as standardized study deposits, readiness requirements, and withdrawal penalties.

    - Although these requirements may prevent speculative projects from entering the study process, they do *not* address the major stranded cost concerns with data centers that complete the study process, cause massive transmission upgrades, but then do not have the expected level of demand over a sustained period.

- **ANOPR Principle 13**

    - Because large data center load interconnections are already causing huge transmission investments that impact Commission-jurisdictional rates, Buckeye supports a transition mechanism for the treatment of large load interconnections that are already being studied.

    - If holding the large loads directly responsible for network upgrade costs is not possible in this transition period, the Commission should use the alternatives described above as a transition mechanism.

II. INTEREST OF BUCKEYE

Buckeye is an Ohio non-profit generation and transmission cooperative that produces, procures, and provides at wholesale all the electric capacity, energy, and transmission required by its member electric distribution cooperatives.[4] Buckeye operates as a cooperative and is owned by its 25 member distribution cooperatives, which are in turn each owned by their member-consumers. Buckeye thus operates not for the benefit of shareholders, but for the benefit of its member-consumers. Buckeye's mission is to provide "to all member systems, stably and competitively priced, economical and highly reliable wholesale power, for the benefit of their members and their communities."[5]

Buckeye arranges transmission services for the delivery of generation to its member electric distribution cooperatives at over 400 delivery points in the State of Ohio. Those member distribution cooperatives serve over 400,000 residential, commercial, and industrial customers in service territories encompassing primarily rural areas in 77 of Ohio's 88 counties. Buckeye is a Transmission Dependent Utility ("TDU"), meaning that it depends almost exclusively on PJM Interconnection, L.L.C. ("PJM") and four transmission owners in Ohio (Duke Energy Ohio, Ohio Power Company/AEP Ohio Transmission Company, Inc., American Transmission Systems, Inc., and the Dayton Power & Light Company) for transmission of electricity to its member cooperatives. As a TDU, Buckeye is subject to PJM's Open Access Transmission Tariff ("OATT"), which

[4] The 25 distribution cooperative members of Buckeye are: Adams Rural Electric Cooperative, Inc.; Buckeye Rural Electric Cooperative, Inc.; Butler Rural Electric Cooperative, Inc.; Carroll Electric Cooperative, Inc.; Consolidated Cooperative, Inc.; Darke Rural Electric Cooperative, Inc.; Firelands Electric Cooperative, Inc.; The Frontier Power Company; Guernsey-Muskingum Electric Cooperative, Inc.; Hancock-Wood Electric Cooperative, Inc.; Holmes-Wayne Electric Cooperative, Inc.; Licking Rural Electrification, Inc.; Logan County Cooperative Power and Light Association, Inc.; Lorain-Medina Rural Electric Cooperative, Inc.; Mid-Ohio Energy Cooperative, Inc.; Midwest Electric, Inc.; Midwest Energy & Communications; North Central Electric Cooperative, Inc.; North Western Electric Cooperative, Inc.; Paulding-Putnam Electric Cooperative, Inc.; Pioneer Rural Electric Cooperative, Inc.; South Central Power Company; Tricounty Rural Electric Cooperative, Inc.; Union Rural Electric Cooperative, Inc.; and Washington Electric Cooperative, Inc.

[5] Buckeye's mission statement can be found on its website at https://ohioec.org/buckeye-power.

includes cost recovery for transmission upgrades and expansions made by each transmission owner in Ohio and regional transmission projects assigned by PJM.

Buckeye also owns and operates generation resources to meet its members' load requirements and is a participant in the PJM capacity market as both a generation owner and a Load Serving Entity ("LSE"). In order for Buckeye to provide reliable and affordable electric supply to its members and their retail members, it is essential that the Commission adopt a rule in this proceeding that makes large loads responsible for the costs that they cause and that does not allow large loads to shift costs to other wholesale transmission customers, like Buckeye, should the large loads fail to materialize and maintain their expected level of service over a sustained time.

Buckeye appreciates the Commission's issuance of the proposed ANOPR and Notice to address these issues. Communications regarding these proceedings should be directed to:

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III. COMMENTS

A. Large loads, primarily data centers, are creating significant stranded transmission cost risks that require Commission action.

i. Large loads are driving massive transmission investments.

Large loads, primarily data centers, are spurring significant transmission investments and associated costs in the PJM region and across the United States. PJM's load forecasts currently anticipate approximately 30 GW of additional data center load coming online by 2030.[6] Massive transmission investments are needed to serve these new loads in the form of both large regional projects and local transmission projects.

As with the load forecast, the magnitude of transmission investment required is also staggering. Load growth of approximately 10,000 MW driven largely by data centers in the Dominion Zone of PJM resulted in approximately *$12 billion* in transmission investment across PJM.[7] Ohio Power Company ("AEP Ohio") stated in its recent retail

[6] Letter from David E. Mills, Chair, PJM Board of Managers, to PJM Stakeholders (Aug. 8, 2025), https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf ("Indeed, PJM's 2025 long-term load forecast shows a peak load growth of 32 GW from 2024 to 2030. Of this, approximately 30 GW is projected to be from data centers."). Preliminary information submitted as part of PJM's Large Load Adjustment process for the 2026 long-term load forecast indicates that PJM may see as much as 60 GW of new large loads by 2030. *See* Letter from Office of the People's Counsel, State of Maryland, to David Mills, Chair, PJM Board of Managers and Manu Asthana, PJM President and CEO at 1 (Oct. 14, 2025), https://opc.maryland.gov/Portals/0/Files/Publications/Others/MPC%20letter%20to%20PJM%20and%20comments%20re%202026%20cycle%20Load%20Forecasting%20FINAL%2010142025.pdf?ver=dH4rBUdCK1fC9WK8QoE6vQ%3D%3D. This 60 GW number is based on the aggregate of the Transmission Owners' and Load Serving Entities' individual Large Load Adjustment requests for "demand" and "capacity" increases recently posted and then compiled together by PJM as part of its 2026 Large Load Adjustment. *Id.* These numbers are preliminary.

[7] Adding the baseline upgrades developed during recent PJM Competitive Planning Windows sums to $12.163 billion. See details below:

- Baseline upgrades developed during an "Immediate Need" reliability evaluation (and approved by PJM in Oct 2022) totaled $652 million. *See* PJM Transmission Expansion Advisory Committee ("TEAC"), *Recommendations to the PJM Board White Paper* at 1 (Oct. 2022), https://www.pjm.com/-/media/DotCom/committees-groups/committees/teac/2022/20221004/20221004-pjm-teac-board-whitepaper-october-2022.pdf data center tariff case that 4,500 MW of new data center load in Central Ohio, on top of existing load and already contracted data center load, would require three new 765 kV lines, resulting in total transmission investment of over *$10 billion*.[8] More recently in September 2025, after AEP Ohio lifted a moratorium on new data center load it had instituted to deal with an overwhelming number of new data center requests, it reported that it had received requests for over *9,000 MW* of new data center load in Central Ohio (and over 13,000 MW of new data center load in all of Ohio).[9]

- Baseline upgrades developed during 2022 RTEP Window 3 (and approved by PJM in Dec 2023) totaled $5.143 billion. *See* TEAC, *Recommendations to the PJM Board White Paper* at 1 (Dec. 2023), https://www.pjm.com/-/media/DotCom/committees-groups/committees/teac/2023/20231205/20231205-pjm-teac-board-whitepaper-december-2023.pdf.
- Baseline upgrades developed during 2023 Window 2 (and approved by PJM in Aug 2024) totaled $448 million. *See* TEAC, *Recommendations to the PJM Board White Paper* at 1-2 (Aug. 2024), https://www.pjm.com/-/media/DotCom/committees-groups/committees/teac/2024/20240806/20240806-pjm-board-whitepaper-august-2024.pdf.
- Baseline upgrades developed during 2024 RTEP Window 1 (and approved by PJM in Feb 2025) totaled $5.920 billion. *See* TEAC, *Recommendations to the PJM Board White Paper* at 2 (Feb. 2025), https://www.pjm.com/-/media/DotCom/committees-groups/committees/teac/2025/20250204/20250204-pjm-board-whitepaper-february-2025.pdf.

Note, the figures above do not include the costs of supplemental projects associated with large load growth.

[8] *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA, Hr'g Tr. vol. II at 394:24-395:8, 399:16-400:8 (Pub. Utils. Comm'n of Ohio Dec. 4, 2024) ("AEP Data Center Hr'g Tr.") (Witness Ali stated "We did look at other solutions beyond 1,500 megawatts. And what I do recall, at this point, is we were able to get to 4,500 megawatts, but that required three 765 kV lines in the model . . . "). This 4,500 MW is in addition to 4,000 MW of existing load and 5,000 MW that have executed Electric Service Agreements with AEP Ohio. Direct Testimony of Kamran Ali on Behalf of Ohio Power Co. at 3-5, *In re Application of Ohio Power Co. for New Tariffs Related To Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA (Pub. Utils. Comm'n of Ohio May 13, 2024). Witness Ali stated: "My expectation is that we have already connected 5,000, so you have got to take that into consideration. So my expectation is that, yes, beyond that, for the next 5,000, 6,000 megawatt, we will be looking at something similar. So overall, the 10,000-megawatt incremental demand would probably be in very close proximity to that [$10 billion estimate]." AEP Data Center Hr'g Tr. vol. II at 400:2-8.

[9] *See* AEP Ohio, Correspondence re Status of Process for Signing Up New Schedule Data Center Tariff Customers, *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA (Pub. Utils. Comm'n of Ohio Sep. 11, 2025), https://dis.puc.state.oh.us/ViewImage.aspx?CMID=A1001001A25I11B15803D00410 ("This Monday, September 8, 2025, was the final day of the 45-day period for customers to submit load study requests, and as of that date, AEP Ohio had received requests to formally study 36 data center sites totaling 13,022.7 MW of total load. Of this total, 32 sites totaling 9,807.7 MW of load were located within Central Ohio.").

Data center-driven costs are not limited to large regional projects; they can also cause significant local or supplemental transmission project costs. In 2024 alone, transmission owners in the PJM region proposed *$4.3 billion* in local transmission projects, with $2 billion coming from Virginia and $1.3 billion coming from Ohio, two epicenters of data center development.[10]

ii. These investments to serve large loads pose real and significant risks of significant stranded transmission costs.

While these costs are primarily driven by data center loads, currently *all* customers in the corresponding PJM transmission zones and, where applicable, in the broader PJM region will bear them. In PJM, the transmission system is planned and built for compliance with reliability standards based on load forecasts, which include large data center loads.

For instance, AEP has represented that it submits its large load forecasts based on contracted for peak demand contained in the large load's electric service agreement with its retail utility.[11] The transmission investment required to serve these data center loads are rolled into AEP's transmission rate base and recovered from transmission customers through the revenue requirement for the life of the transmission facilities, typically forty years or longer. Depending on the characteristics of the transmission facility at issue, the costs are shared throughout the PJM footprint and/or individual PJM zones—some of which, like the AEP Zone, cover multiple states and include other LSEs, like Buckeye.

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[10] *See* Union of Concerned Scientists, *Connection Costs: Loophole Costs Customers over $4 Billion to Connect Data Centers to Power Grid* at 4 (Sep. 2025), https://www.ucs.org/sites/default/files/2025-09/PJM%20Data%20Center%20Issue%20Brief%20-%20Sep%202025.pdf.

[11] AEP Data Center Hr'g Tr. vol. I at 244-247; Direct Testimony of Kamran Ali, on Behalf of Ohio Power Co. at 5-6, *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA (Pub. Utils. Comm'n of Ohio May 13, 2024).

If the data center load shows up as expected and built for—i.e., at the expected level of electricity consumption and over a sustained period of time—the increased costs of the data center-driven upgrades may be offset by the increased data center load. That offset could result in stable or reduced transmission rates for all customers, depending on the particular large load and network upgrades at issue.[12] If, however, these large loads do not show up or fail to sustain their expected level of demand over a long period of time, these increased costs will be borne by all other wholesale customers (and their retail customers) in the PJM region.

This problem directly affects Buckeye today. Transmission costs in the multi-state AEP Zone of PJM are allocated to wholesale transmission customers based on an annual single coincident peak ("1 CP"). In other words, transmission costs are allocated to wholesale transmission customers in this Zone based on their usage during a single peak hour of the entire year. The massive transmission investments driven by large load interconnection, particularly data center load served by AEP Ohio, are thus allocated based on this 1 CP methodology, rather than paid by the large loads (or assigned to the particular LSE of which the large load is a customer).

If the large data center load shows up—and has sustained usage at expected levels for an extended time and during the 1 CP peak used for allocation—the LSE serving that load (here, AEP Ohio) will be allocated a larger share of zonal costs increase. As a result, other wholesale transmission customers in the zone have some protection against the

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[12] It is also possible that transmission rates of other customers may still increase even if the data center load shows up as planned, if the incremental cost of new transmission facilities to serve data center load is higher than the average cost of the existing transmission system. Principle 8's proposal to have large loads pay upfront for the cost of transmission facilities that they cause to be planned for and built would help to address the risk of cost shifting that could occur even if large loads show up as planned, and it is thus the most protective of other customers.

higher zonal transmission costs because they will pay a smaller share of those costs. But there are numerous ways in which the large data center might *not* sustain the expected level of demand over time:[13]

- First, the data center may go out of business or otherwise not take service after the transmission investments have already been incurred but before transmission service to the data center even commences.

- Second, the data center may take service for some short amount of time after the transmission investment has been made but then go out of business, relocate, or otherwise leave the system.

- Third, the data center could forecast higher levels of load than it ultimately takes service for on a sustained basis after the transmission investments have been incurred. This is a real possibility given the potential improvements in efficiencies, changes in technology, changes in business models, etc.

- Fourth, even if the data center generally has usage at the expected level of demand over a long period of time, it may be able to reduce usage during the single peak hour used by most PJM transmission owners to allocate zonal costs (e.g., through use of behind the meter generation, on-site batteries, or curtailment). Indeed, data centers may be incentivized financially to reduce their usage during this single hour, by being given access to the 1 CP demand charge for transmission billing at retail, for example. This reduction of metered demand during a select, targeted time does not reduce the costs of transmission investments that have already been built; it simply shifts those costs to existing customers.

In all of these scenarios, the data center fails to contribute to the 1 CP values used to allocate costs to wholesale transmission customers at the amount expected over the life of the transmission investment it caused.[14] As a result, the remaining transmission customers in the entire multi-state AEP Zone would see higher zonal transmission costs. But AEP Ohio (and its own retail load) would be allocated only a portion of those

[13] In these Comments, stranded cost concerns encompass all four of these scenarios.

[14] For that reason, Dominion Energy made a voluntary filing to change its transmission zonal cost allocator from 1 CP to 12 CP, which the Commission approved. *PJM Interconnection, L.L.C.*, 169 FERC ¶ 61,041 (2019), *on reh'g*, 172 FERC ¶ 61,054 (2020).

stranded costs, and other LSEs (like Buckeye) would see significant increases in their costs. Consequently, other LSEs in the AEP Zone will bear the stranded costs of transmission facilities built to serve large loads whose actual usage is materially different than their forecast usage.

Table 1 below shows a simplified example of how other wholesale transmission customers will bear transmission costs caused by large data center interconnections if the data center loads fail to take service at the level for which they were planned.[15] Table 1 shows the significant risk that if data centers do not actually maintain the demand for which it was planned, other customers will bear substantial additional costs caused by data center loads through Commission-jurisdictional rates. In this example (given the particular loads and costs used), other wholesale transmission customers are unaffected if data centers' usage is the full 10,000 MW forecast. As Example #2 shows, in this scenario the 1 CP of the "Host Utility" increases sufficiently such that it is allocated the full $1 billion in increased revenue requirement caused by data center interconnections. But as Example #3 shows, if the data center loads in the Host Utility's service territory fail to show up (and thus the 1 CP of the "Host Utility" decreases), while the 1 CPs of the other wholesale transmission customers remain unchanged, the "Host Utility" is only allocated $0.75 billion of the $1 billion increase in revenue requirement caused by the data center interconnections. Whereas the other wholesale transmission customers bear the remaining $0.25 billion. Example #4 shows that even if the data center loads have

[15] The examples used in the table are entirely hypothetical and are not meant to represent the existing transmission revenue requirement of any particular transmission owner, or the incremental cost to build transmission facilities to accommodate the planned for load of any particular data center. This table also assumes that the hypothetical transmission owner uses a single annual coincident peak demand (1 CP) to allocate the revenue requirement of the entire transmission system among the three hypothetical transmission customers.

half of the forecast usage, there will still be $0.1 billion in revenue requirement caused by the data center interconnections shifted to other wholesale customers.

Table 1

Example #1

Pre-Additions to Serve Data Center Loads			
Revenue Requirement	$2.00 Billion		
Zonal Demand	20,000 MW		
	1CP Peak (MW)	***Share of Costs***	
Host Utility	15,000	$1.50 Billion	
Transmission Customer 1	3,000	$0.30 Billion	
Transmission Customer 2	2,000	$0.20 Billion	

Example #2

Data Center Forecast of 10,000 MW, Loads Show Up at 100% of Requested Amount			
Revenue Requirement	$3.00 Billion		
Zonal Demand	30,000 MW		
	1CP Peak (MW)	***Share of Costs***	***Change from Pre-Data Center Addition***
Host Utility	25,000	$2.50 Billion	$1.00 Billion
Transmission Customer 1	3,000	$0.30 Billion	$0.00 Billion
Transmission Customer 2	2,000	$0.20 Billion	$0.00 Billion

Example #3

Data Center Forecast of 10,000 MW, Loads Show Up at 0% of Requested Amount			
Revenue Requirement	$3.00 Billion		
Zonal Demand	20,000 MW		
	1CP Peak (MW)	***Share of Costs***	***Change from Pre-Data Center Addition***
Host Utility	15,000	$2.25 Billion	$0.75 Billion
Transmission Customer 1	3,000	$0.45 Billion	$0.15 Billion
Transmission Customer 2	2,000	$0.30 Billion	$0.10 Billion

Example #4

Data Center Forecast of 10,000 MW, Loads Show Up at 50% of Requested Amount			
Revenue Requirement	$3.00 Billion		
Zonal Demand	25,000 MW		
	1CP Peak (MW)	***Share of Costs***	***Change from Pre-Data Center Addition***
Host Utility	20,000	$2.40 Billion	$0.90 Billion
Transmission Customer 1	3,000	$0.36 Billion	$0.06 Billion
Transmission Customer 2	2,000	$0.24 Billion	$0.04 Billion

iii. Commission action is necessary to ensure just, reasonable, and not unduly discriminatory transmission rates.

As explained above, large loads are driving significant transmission investments that directly impact Commission-jurisdictional rates and create massive stranded cost risks for wholesale transmission customers. Given the Commission's statutory obligation to ensure that transmission rates subject to its jurisdiction are just, reasonable, and not unduly discriminatory, these impacts are squarely within the Commission's authority to address.

Although some utilities are addressing this issue at the retail level, retail approaches on their own are insufficient and incomplete. A clear example of why a federal solution is needed is AEP Ohio's data center retail tariff recently approved by the Public Utilities Commission of Ohio ("PUCO").[16] That retail tariff ensures that AEP Ohio and its own retail customers are protected against massive stranded transmission costs caused by large data center loads. But, so far, AEP Ohio has failed to provide any mechanism to protect *other wholesale transmission customers* from such costs.

AEP Ohio recognized significant and valid concerns about stranded transmission investments caused by new data center load, particularly potentially speculative data centers. AEP Ohio supported its original tariff filing with the following testimony:[17]

> AEP Ohio's proposal is designed to mitigate the risk that transmission infrastructure will be built for speculative data center projects, and when it comes time to serve, the data center projects either will be cancelled or be using

[16] *See In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA (Pub. Utils. Comm'n of Ohio July 9, 2025).

[17] Direct Testimony of Matthew S. McKenzie on Behalf of Ohio Power Co. at 4, *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA (Pub. Utils. Comm'n of Ohio May 13, 2024). Ultimately, the original tariff filing was revised as part of a stipulation agreed to among multiple parties to reflect the terms described in the remainder of this section. This stipulation was approved by the PUCO.

> significantly less power than they had planned. If this happens, more of the costs of the transmission buildout will be borne by retail customers in the PJM region including AEP Ohio's other customers. As described below, AEP Ohio's proposed data center tariffs will require data centers to make long-term financial commitments – to have more skin in the game – to mitigate the risk that transmission infrastructure will be built for data centers but not needed.

To address these concerns, AEP Ohio filed a retail tariff that, among other things, requires data center loads to pay at least 85% of the demand they subscribe to use (even if actual usage is less), includes exit fees and minimum contract terms, and mandates that data centers provide credit support terms to support these obligations.[18] These measures are intended to encourage accurate load forecasting, facilitate right-sized transmission investment, and discourage speculative data center loads. For instance, the minimum charges and exit fees ensure payment by the data center even if the data center's usage is less than expected or terminates before the expected term.

Under AEP Ohio's retail tariff, these measures protect only AEP Ohio's own retail customers from these significant stranded transmission cost risks, leaving wholesale transmission customers exposed. The current AEP Ohio retail tariff contains no mechanism to protect wholesale transmission customers. And, unlike other utilities (see Part III.C.ii below), AEP Ohio has *not* filed any of its agreements with data centers at this Commission, and it has *not* committed to FERC that it will reflect in its transmission revenue requirement any payments it receives under the protective provisions of such agreements. Nor is relief available from the PUCO, which found that these potential cost

[18] *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, Docket No. 24-508-EL-ATA, Order P 46 (Pub. Utils. Comm'n of Ohio July 9, 2025) (summarizing the October 23, 2024 stipulation (that PUCO approved) establishing AEP Ohio's retail data center tariff).

impacts to wholesale transmission customers "are statutorily outside of [the Public Utility Commission of Ohio's] intrastate purview."[19]

AEP Ohio's retail-only approach directly impacts Buckeye through FERC-jurisdictional rates. The simplified example in Table 1 above illustrates this point, with AEP Ohio in the role of "Host Utility" and Buckeye as one of the other wholesale transmission customers. In Table 1, the data center interconnections cause $1 billion in increased transmission revenue requirement. If the data center loads do not show up (Example #3 in Table 1), the "Host Utility" is allocated only $0.75 billion of those costs (with the rest allocated to other wholesale transmission customers). If the "Host Utility" recovers the full costs of the transmission revenue requirement increase caused by the data centers through the stranded cost protections included in its retail arrangements with the data centers, *but does not apply those payments to the wholesale transmission revenue requirement*, it will over-recover the costs the "Host Utility" is allocated in wholesale transmission rates ($1 billion from the data center compared to only $0.75 allocated in wholesale transmission rates). Even if the "Host Utility" in this example recovers only 85% of the $1 billion in costs from the data centers through the stranded cost protections included in its retail arrangements, that would still exceed the costs the "Host Utility" is assigned in wholesale transmission rates in this example ($0.85 billion compared to $0.75 billion).

There is also an over-collection of data center-driven network upgrade costs from other wholesale transmission customers. Critically, absent some adjustment in wholesale transmission rates, none of the money the "Host Utility" recovers from the data center

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[19] *Id.* P 132.

through its retail arrangements is used to offset the $0.25 billion stranded transmission costs allocated to other wholesale transmission customers under Commission-jurisdictional rates. This example shows that as a wholesale transmission customer in the AEP Zone of PJM, Buckeye (and its members and their retail customers) could be stuck paying for transmission assets built for a large load that does not show up—notwithstanding AEP Ohio's retail data center tariff.

It is absolutely essential that this Commission address these issues and cost shifting concerns at the federal level.[20] Without Commission action, wholesale transmission customers like Buckeye have no direct ability to require data centers to bear their fair share of the costs they cause, as these data centers are not retail customers of Buckeye. The Commission is statutorily obligated to ensure just, reasonable, and not unduly discriminatory transmission rates, and large load interconnections are directly and significantly affecting these transmission rates. The Commission must take action to ensure all wholesale customers are protected against the real and significant transmission cost shifting risks posed by these large load interconnections.

B. Buckeye supports the ANOPR's Principles focused on holding large loads responsible for the costs they cause (Principles 8 and 4).

Buckeye supports the Principles in the ANOPR that require the large load seeking to interconnect to the transmission system to be responsible for transmission costs at the wholesale level, thereby ensuring that other transmission customers, and their retail

[20] In addition, retail-only solutions are particularly inapt for these large data center concerns because (1) individual data centers' sizes are so large as to have major impacts on Commission-jurisdictional rates, and (2) data centers are *not* evenly distributed across the service territories of various wholesale transmission owners in a zone or RTO. These unique characteristics require specific action by the Commission.

customers, are held harmless against stranded cost risk. Below, Buckeye specifically addresses Principles 8 and 4 of the ANOPR.

i. Large Loads Should be Responsible for 100% of Transmission Costs they Cause (Principle 8).

Principle 8 of the ANOPR states:[21]

> Load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies. [FERC] seek[s] comment on whether such costs should be offset through a crediting mechanism [as is done for generator interconnection-related network upgrades] and, if so, over how many years.

Buckeye supports this common-sense Principle. Large loads should be 100% responsible for all network upgrades, which should be identified in the applicable interconnection studies for these large loads. In addition to network upgrades discussed in Principle 8, large loads should also be directly assigned 100% of the costs of all interconnection facilities and attachment facilities built to serve their load.[22]

This approach of holding large loads directly responsible for the costs they cause is the most direct and sure way to protect other wholesale transmission customers from the unique risks of new data centers and other similar large load interconnections (e.g., enormous stranded costs). In addition, upfront payment addresses the risk that the large

[21] ANOPR, P 25.

[22] Buckeye supports the Commission's proposal in this proceeding for the direct assignment to large loads the cost of all new network upgrades to data centers (as well expanding Principle 8 to include directly assigning interconnection facilities, metering, and attachment facilities) because of the unique attributes of data centers, including their unprecedented size, rapid pace of development, and risk of stranded costs. Buckeye continues to support the Commission's presumption for the roll in of the cost of all other network transmission facilities necessary to serve traditional (non-data center) load growth. *See, e.g.*, *Pinnacle W. Cap. Corp.*, 133 FERC ¶ 61,034, P 8 n.16 (2010) (explaining that "[u]nder the *Mansfield* framework, transmission facilities are considered to be integrated [i.e., networked], thereby justifying rolled-in pricing, unless all five of the [*Mansfield*] factors are satisfied." (citing *Mansfield Mun. Elec. Dep't. v. New England Power Co.*, Op. No. 454, 97 FERC ¶ 61,134 (2001), *reh'g denied*, Op. No. 454-A, 98 FERC ¶ 61,115 (2002))).

load decides not to go forward with its planned data center and is unable to cover the costs of the transmission investments made to serve its load.[23]

Assigning upfront costs to data centers is not an overly complex problem; indeed it mirrors the process already in place for large generator interconnections. Assigning these costs may require cluster studies to be run by the transmission owner and/or RTO, or other similar processes, to ensure fair allocation of costs for certain network upgrades built to serve multiple large load customers.[24]

Buckeye supports coupling up-front payments with a crediting mechanism to allow transmission owners to roll these costs into rate base over time—*provided* that the crediting mechanism is designed to protect other wholesale transmission customers from stranded costs, as upfront payments are credited back and added to rate base. A crediting mechanism should be designed to address the particular characteristics and challenges of large loads, thereby ensuring that the credits do not shift the costs of these network upgrades to customers that did not cause them.

Importantly, an appropriate crediting mechanism for this purpose will need to be different from the crediting mechanism used for large generator interconnections. The approach to crediting in the large generator interconnection context was merely a

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[23] As noted above, upfront payment can also address the problem that, even if the data center load shows up as planned, other customers may pay higher transmission rates when the incremental cost of the transmission investments necessary to serve the data center load is higher than the average cost of the existing transmission system. This protection against increased rates is particularly important given the unique characteristics of large data center loads—e.g., the rapid pace of their growth, the huge size of individual data center loads, their uneven distribution, the uncertainty of their forecasts, along with the sheer magnitude of the network upgrades they require. Proposals that address only the stranded costs problem do not address the incremental cost problem in the way that upfront payment does.

[24] At a minimum, large loads should be held directly responsible for the direct interconnection and metering facilities required to serve them. These costs should be easily identifiable and allocable to the large loads, even if transmission system upgrades costs are not.

financing mechanism and never intended to address the kinds of risks to other customers raised by large loads such as data centers.[25] Here, to produce just, reasonable, and not unduly discriminatory transmission rates, crediting should be specifically structured to avoid the cost shifts and stranded transmission cost risks posed by large data center loads.

ii. Buckeye supports provisions to deter speculative requests (Principle 4).

Principle 4 of the ANOPR states:[26]

> Like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties . . . [to] deter speculative projects.

Buckeye also agrees that large load requests for interconnection should be subject to specified terms to deter speculative projects. Deterring speculative projects will improve load forecasts and right-size transmission investment. Study deposits, intended to cover the administrative costs of running studies or managing a large load interconnection queue, should be required and paid at the beginning of the application process to discourage speculative projects. Likewise, readiness requirements and withdrawal penalties are important for deterring speculative projects from clogging the queue and adding uncertainty and delay.

While these kinds of requirements are useful in deterring speculative projects from beginning the study process—and the disruption caused by the withdrawal of

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[25] *See Standardization of Generator Interconnection Agreements and Procedures,* Order No. 2003-A, 106 FERC ¶ 61,220, P 582, *order on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. NARUC v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007) (explaining that "[t]he Interconnection Customer's upfront payment, with the associated credits and reimbursements, *serves simply as a financing mechanism* that is designed to facilitate the construction of the Network Upgrades" (emphasis added)).

[26] ANOPR, P 21.

interconnection requests during the study process—they are not sufficient to address the significant stranded cost issues described above. Those risks occur *after* the study process when significant transmissions have been made in order to serve anticipated large loads. These significant risks to other wholesale transmission customers should be addressed by upfront payment of 100% of the required transmission upgrades associated with the large load interconnection (with crediting if appropriately designed to protect other customers). To the extent that 100% of such upgrades are not paid upfront by large loads, the Commission should protect other wholesale transmission customers as discussed in Part III.C below.

C. There are alternative approaches to large load cost accountability that the Commission could also use to protect other wholesale transmission customers (Principle 8).

As noted above, Buckeye supports directly holding large loads like data centers responsible for transmission network upgrade costs (which can include crediting if appropriately designed), as contemplated in Principle 8 of the ANOPR. In addition, Buckeye supports also directly assigning to large loads 100% of the interconnection facilities and attachment facilities required to serve them. This approach of holding data centers directly responsible for the costs they cause is the most direct and effective way of protecting wholesale transmission customers from the unique risks of new data centers and other similar large load interconnections. Other commentors, however, may raise concerns with this approach. To the extent the Commission does not directly hold large loads responsible for these costs they cause through upfront payments, it should take alternative actions to ensure just, reasonable, and not unduly discriminatory transmission rates.

i. The Commission can protect other customers by holding the relevant wholesale transmission entity responsible for the network upgrade costs caused by the large load it has a retail relationship with for distribution and transmission purposes.

One option would be to hold the relevant wholesale transmission entity responsible for the network upgrade costs caused by the large load it has a direct relationship with. While the nature and name of this relevant wholesale transmission entity will vary across regions, it is the entity that acts as the intermediary, for transmission purposes, between the large load and the transmission provider/transmission owner.

For the AEP Zone of PJM example discussed above in Part III.A, AEP Ohio would be the relevant wholesale transmission entity for a data center that has a retail relationship with AEP Ohio for distribution and transmission purposes.[27] AEP Ohio is the entity that is allocated a portion of the broader AEP Zone costs for purposes of Commission-jurisdictional transmission rates, and it is the entity that has a retail relationship with the large load for distribution and transmission purposes.[28]

If the relevant wholesale transmission entity, like AEP Ohio, were responsible for the network upgrade costs caused by their retail customers seeking large load interconnections, that could both protect other wholesale transmission customers and still

[27] In AEP Ohio's service territory, this is true regardless of whether the generation component of that retail service is provided by AEP Ohio pursuant to a Standard Service Offer ("SSO") or a Competitive Retail Electric Service ("CRES") provider. *See In re Application of Ohio Power Co.*, Slip Opinion No. 2025-Ohio-3034 (affirming that AEP Ohio can require transmission to be charged as a "non-bypassable" rider even if the retail customer obtains the generation component of its retail service through a CRES provider). *See also* Ohio Rev. Code § 4928.05 ("The commission shall adopt, for each electric distribution utility that provides customers with a standard service offer . . . a nonbypassable cost recovery mechanism relating to transmission.").

[28] Buckeye understands that the AEP East transmission zone in PJM has the additional complexity of an inter-company agreement among AEP East Operating Companies further allocating wholesale transmission costs among them on a 12 CP basis before such costs are passed through from the AEP transmission zone in PJM to its various affiliated operating companies in the PJM zone.

allow a mechanism for ultimately holding large loads responsible for the costs they cause. For example, it could be assigned 100% of the network upgrades (as well as interconnection facilities and attachment facilities) required to serve its large load customer and make these upfront payments prior to construction.[29] The relevant transmission entity would then be in the position to pass these same costs onto the retail large load pursuant to state- jurisdictional retail rate proceedings.

There may be other ways, aside from upfront payments, that nevertheless hold the relevant wholesale transmission entity responsible for these costs. For instance, costs in the AEP Zone of PJM are currently allocated based on 1 CP, but that allocation methodology could be adjusted so that the relevant wholesale transmission entity is responsible (all or at a just and reasonable percentage) for the forecast load of its large load customer even if that large load fails to contribute to the 1 CP value. This would ensure that the failure of a large data center load to sustain demand at the level for which the network upgrades associated with the interconnection were planned does not result in other wholesale transmission customers bearing the costs of transmission facilities specifically built to serve that large load.

Importantly, the relevant wholesale transmission entity is uniquely positioned to then recover these costs from the large retail load, thereby holding the large load ultimately responsible for these costs. Because the relevant wholesale entity has a retail relationship with the large load for distribution and transmission purposes, it can require

[29] As discussed above, a crediting mechanism could be implemented for the network upgrades funded upfront by the large load, provided that the crediting mechanism is structured to protect other wholesale transmission customers after the credit payments are included in the transmission owner's rate base. Interconnection facilities and attachment facilities should be directly assigned to the large load and not rate based by the transmission owner.

the large load to be responsible for the costs through its retail arrangements with the large load.

The AEP Ohio retail data center tariff described above illustrates how the relevant wholesale transmission entity can hold the large load responsible for costs it causes through retail arrangements. But the critical difference from the status quo is that AEP Ohio would be responsible for such costs for purposes of Commission-jurisdictional transmission rates, protecting other Commission-jurisdictional transmission rate customers (like Buckeye) from bearing the risk of stranded transmission costs.

In other contexts, the Commission has approved similar mechanisms designed to hold particular entities responsible for their large load retail customers while protecting others. In the resource adequacy context, for example, the Commission approved a PJM tariff revision affecting how PJM calculates the capacity obligation of LSEs.[30] "PJM explain[ed] that the proposal was spurred by the recent proliferation of data centers that are contributing to large additions of forecasted load concentrated within a specific wholesale metering area," which led PJM to propose:[31]

> revisions [to] correct the issue wherein load adjustments that are specific to a zone/area have their associated forecasted capacity obligations spread pro rata over the entirety of the Zone, thereby causing misalignment between the forecasted and actual capacity obligations of individual LSEs—particularly where LSEs within a Zone are split between [Fixed Resource Requirement] entities and LSEs participating in the capacity market.

At a high level, this proposal ensured that LSEs would not have their capacity obligations inappropriately inflated due to expected large loads of *other* LSEs in the same Zone

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[30] *PJM Interconnection, L.L.C.*, 188 FERC ¶ 61,200 (2024).

[31] *Id.* P 5.

through a change to the "equations for allocating Large Load Adjustments [to] more accurately assign capacity obligations to LSEs."[32] .

Although this example addressed capacity obligations and certainly does not address all data center-related concerns (such as stranded transmission costs), it highlights how the unique challenges of large loads can be addressed by holding the specific wholesale entity associated with those large loads responsible for the burdens they cause. This example illustrates how, given the size and uneven distribution of data center loads, a socialized approach to data center demand, whether in the capacity or transmission context, is no longer acceptable, nor just and reasonable.

ii. The Commission should at minimum require that the results of any ratepayer protections implemented at the retail level for stranded transmission costs associated with Commission-jurisdictional transmission service are reflected in Commission-jurisdictional transmission rates.

Buckeye believes that holding large loads directly responsible for the network upgrades they cause, or holding their relevant wholesale transmission entity responsible, is the best way to protect other customers in a clear and consistent manner. But at a minimum (and as a transition mechanism before upfront funding measures take effect, as discussed in Part III.D below), the Commission must ensure that any existing retail-level protections against the risks of stranded costs of Commission-jurisdictional transmission service resulting from large loads will be reflected and accounted for in Commission-jurisdictional rates. Doing so will provide at least some assurances that other wholesale transmission customers will not bear the costs caused by large load interconnections.

[32] *Id.* P 37

One way to do this is through the filing of agreements between the public utility and the large load with the Commission, to ensure that there are sufficient protective measures and that those protective measures will be reflected in Commission-jurisdictional transmission rates. This approach has already been taken by several utilities.

- **Dayton Power & Light d/b/a AES Ohio ("AES")** filed two Construction Agreements with Amazon Data Services ("Amazon"), requiring Amazon to meet certain minimum charges and early termination fees, supported by credit security provisions. Importantly, in its filing, AES committed to the Commission that it would apply any minimum charges and exit fees obtained from its agreement with Amazon to offset stranded transmission investments in its wholesale revenue requirement.[33] These Agreements were accepted by FERC, with then-Commissioner Christie emphasizing "the clear intent of the parties is for Amazon Data Services, Inc., not other consumers, to pay for the costs of the Transmission Customer New or Upgraded Service Construction Service Agreement (CSA)."[34]

- **PECO Energy Company ("PECO")** filed a Transmission Security Agreement ("TSA") with Amazon at FERC in September 2025.[35] The agreement was similar to the AES filing in that it required Amazon to meet certain minimum charges and early termination fees, and PECO committed to apply such payments to offset stranded transmission

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[33] Specifically, AES stated that:

> *In order to avoid the potential for double recovery of Network Upgrade costs*, AES Ohio agrees that, if the Network Upgrade costs are rolled into its transmission rates under Attachment H-15 of the PJM OATT and if Amazon subsequently makes a payment to AES Ohio of the Network Upgrade costs incurred under Section 8 of the CSA (other than the payment for Project Development costs), *AES Ohio will appropriately reflect Amazon's payment in its transmission cost of service under Attachment H-15*. However, rate treatment of such proceeds should be appropriately addressed in a future AES Ohio rate case, not this proceeding.

AES Ohio, Transmission Customer New or Upgraded Service Construction Service Agreement, Transmittal Letter at 9 n.18, *Dayton Power and Light Co.*, Docket No. ER25-192 (Oct. 23, 2024), eLibrary No. 20241023-5154 (emphasis added). Similar language appears in AES's second filing. *See* AES Ohio, New or Upgraded High Voltage Distribution Service Construction Service Agreement, Transmittal Letter at 8 n.17, *Dayton Power & Light Co.*, Docket No. ER25-2427 (June 4, 2025), eLibrary No. 20250604-5116.

[34] *Dayton Power & Light Co.*, 189 FERC ¶ 61,220, P 1 (2024) (Christie, Comm'r, concurring) (emphasis removed).

[35] PECO, Transmission Security Agreement between PECO Energy Company and Amazon Data Services, Inc., *PECO Energy Co*., Docket No. ER25-3492 (Sep. 23, 2025), eLibrary No. 20250923-5131 ("PECO Filing").

investments in its wholesale revenue requirement.[36] PECO stated that absent an approved TSA other customers may end up being responsible for significant additional costs should "the Data Center (and its contribution to transmission revenue requirement) not achieve commercial operation or take the minimum level of service as and where proposed."[37] The TSA prevents customers from bearing those costs by ensuring that the new Data Center load is accompanied by enforceable financial and operational commitments that protect other customers from transmission cost shift exposure.[38] This filing is pending approval by FERC.

- **Commonwealth Edison ("ComEd")** filed a retail tariff at the Illinois Commerce Commission ("ICC") in June 2025 indicating that it intended to follow the same approach as PECO and require large loads to file TSAs at FERC containing minimum charges, early termination fees, and credit support provisions, and committing to apply any revenues received under the agreement against the wholesale transmission revenue requirement.[39] ComEd stated in its filing that the TSA "will ensure that if a Large Demand Project Applicant or Customer fails to meet its requested load ramp or does not materialize at all, the resulting revenue shortfall, which could be financially significant, is not borne by other customers. It will also ensure that ComEd's FERC-jurisdictional and Illinois-jurisdictional tariffs are in sync and will prevent potential customer confusion."[40] The tariff is pending approval at the ICC.

- **FirstEnergy** made a filing in the Pennsylvania Public Utilities Commission's *en banc* case to consider retail interconnection requirements and retail tariffs for large load customers that supported the AES approach. FirstEnergy stated that it intends to follow a similar approach to AES and address stranded transmission costs from large loads in construction service agreements filed with FERC. FirstEnergy stated it has developed such an agreement that would be signed by the data center, the distribution utility, and the transmission utility and would include a

[36] *Id.*, Transmittal Letter at 11 n.48 ("In order to avoid the potential for double recovery of the costs of transmission facilities used to provide delivery services to Amazon, PECO agrees that, if these costs are rolled into its transmission rates under Attachment H-7 of the PJM Tariff and if Amazon subsequently makes a payment to PECO as a result of a Customer Shortfall Event, PECO will appropriately reflect Amazon's payment in its transmission cost of service under Attachment H-7. However, rate treatment of such proceeds should be appropriately addressed in a future PECO proceeding (i.e., its annual formula rate updates), not this proceeding.").

[37] *Id.* at 2.

[38] *Id.* at 6.

[39] Commonwealth Edison Co., *Revised General Terms and Conditions*, Docket No. ERM-25-109 (Ill. Com. Comm'n June 23, 2025), https://icc.illinois.gov/docket/P2025-0677/documents/368012.

[40] *Id.* at 4.

> minimum demand ratchet.[41] FirstEnergy also noted that any load shortfalls below the minimum demand ratchets contained in the construction service agreement would be "credited against the transmission owner's formula rate revenue requirement to the benefit of all customers."[42]

As many of these agreements make explicit, it is necessary for such payments made by large data centers (e.g., minimum payments, exit fees, etc.) to be reflected in Commission-jurisdictional transmission rates to prevent over recovery by the transmission owner ("Host Utility" in the example above based on Table 1).[43] Otherwise, as discussed above in Part III.A.iii, these public utilities over recover by recovering stranded transmission costs directly from a data center at retail and recovering a portion of these same stranded costs from wholesale transmission customers. This over recovery is a clear violation of basic ratemaking principles for Commission-jurisdictional rates that the Commission has a clear responsibility to prevent. And the Commission's acceptance of the two AES-Amazon agreements confirms the Commission's jurisdiction over these agreements to the extent that they affect Commission-jurisdictional transmission service.[44]

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[41] *See* FirstEnergy et al., Joint Comments at 19-25, *En Banc Hearing Concerning Interconnection & Tariffs for Large Load Customers*, Docket No. M-2025-3054271 (Pa. Pub. Util. Comm'n June 6, 2025), https://www.puc.pa.gov/pcdocs/1882403.pdf (describing rate design considerations and explaining that its proposal is modeled after AES's).

[42] *Id.* at 24.

[43] In the examples of agreements filed at FERC, the "Host Utility" is also a transmission owner that recovers its transmission revenue requirement through Commission-jurisdictional rates. Thus, their letters to FERC use the term "double recovery," as they could both recover costs from the data center and recover a portion of the same costs through Commission-jurisdictional rates from wholesale transmission customers.

[44] *See also* PECO Filing at 1 n.5 ("As described below, Amazon will be a PECO retail customer that will not take transmission service under the PJM [OATT] but will be served exclusively under PECO's existing state jurisdictional retail tariff. However, the TSA is being filed under FPA section 205 because its provisions may be construed as affecting rates and practices for FERC jurisdictional transmission service.").

Again, Buckeye believes that the best way to protect other customers from unjust, unreasonable, and unduly discriminatory transmission rates is by holding large loads directly responsible for the costs they cause (or if the large loads are not directly responsible, the relevant wholesale transmission entity is held responsible). Relying on agreements with the large data centers—even with assurances that the results of such agreements will be reflected in Commission-jurisdictional rates—could create a patchwork of protections and a more burdensome process of reviewing individual agreements. Nevertheless, at least until more standard protections and cost responsibility mechanisms are established, the Commission must at minimum require that any protective provisions in retail agreements with large loads have their results reflected in Commission-jurisdictional rates to prevent double recovery and protect all other wholesale transmission customers.

D. The Commission should use the alternative approaches described in Part III.C as a transition mechanism to ensure that large load interconnections already being studied do not result in cost shifts to other customers (Principle 13).

Principle 13 of the ANOPR states that "there must be a plan to implement these proposed reforms. We seek comment on appropriate transition plans, *including the treatment of large load interconnections that are already being studied for interconnection*."[45] As shown above, the impact of large load interconnections on Commission-jurisdictional transmission rates is already happening. Huge transmission investments are being made to serve data center load. The Commission must act to ensure

[45] ANOPR, P 30 (emphasis added).

just, reasonable, and not unduly discriminatory rates, including with respect to large load interconnections already being studied.

To the extent it does not implement Principle 8 with respect to large load interconnections already being studied, the Commission should use the alternative approach described in Part III.C.ii above as a transition mechanism for these large loads. Indeed, as discussed in Part III.C.ii, the Commission has already implemented this approach in individual cases. The Commission can and should use this alternative approach to large load interconnection already being studied to ensure that transmission rates are just, reasonable, and not unduly discriminatory in any period prior to the implementation of new rules consistent with ANOPR Principle 8.

IV. CONCLUSION

Buckeye requests that the Commission give full consideration to these comments and concerns in connection with its advance notice of proposed rulemaking addressing large load interconnections.

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